

CHAPTER 9.

An Act to increase the limits imposed by the Export Guarantees Act, 1939, upon the liability which may be undertaken by guarantees given under section one of that Act; to provide for the giving of guarantees for the purpose of encouraging the participation of the United Kingdom in external trade transactions; and for purposes connected therewith. [7th March 1945.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The limits imposed by subsection (1) of section two of the Export Guarantees Act, 1939 (in this Act referred to as "the principal Act") on the aggregate amounts of the liability at any time of the Board of Trade in respect of guarantees given under section one of that Act and under the Export Guarantees Act, 1937, and the enactments repealed by the last-mentioned Act, shall be increased as follows:—

Amendments
as to limits on
the amount of
guarantees
under s. 1 of
2 & 3 Geo. 6.
c. 5.
1 Edw. 8. &
1 Geo. 6. c. 61.

- (a) the limit in respect of all such guarantees shall be increased from seventy-five million pounds to two hundred million pounds;
- (b) the limit in respect of guarantees given under subsection (2) of the said section one (which enables guarantees to be given in connection with the export, or an agreement for the export, of goods to any country) being guarantees given in connection with the export, or agreements for the export, of goods not being home-produced goods, shall be increased from seven million five hundred thousand pounds to fifteen million pounds;
- (c) the limit in respect of guarantees given under subsection (4) of the said section one (which enables guarantees to be given for other purposes conducive to the establishing or encouraging of trade, or any branch of trade, between the United Kingdom and any country) shall be increased from two million five hundred thousand pounds to five million pounds.

(2) Subsection (2) of the said section two (which provides that the liability of the Board of Trade in respect of a guarantee to be given under subsection (2) of the said section one in connection with the execution outside the United Kingdom of works or services in connection with home-produced goods exported or

agreed to be exported shall not exceed an amount equal to one-third of the price of those goods) shall not apply to any such guarantee given after the commencement of this Act.

Power to give
guarantees in
connection
with external
transactions.

2.—(1) If it appears to the Board of Trade, after consultation with the Export Guarantees Advisory Council, that it is expedient so to do for the purpose of encouraging the participation of the United Kingdom in external trade transactions, the Board may, with the consent of the Treasury, make arrangements for giving guarantees in accordance with the following provisions of this section.

(2) Guarantees may be given under this section to, or for the benefit of, any company incorporated under the law of any part of the United Kingdom, or any person (including a company) carrying on business in the United Kingdom, in connection with the sale, or an agreement for sale, of any goods for delivery outside the United Kingdom :

Provided that no guarantees shall be given under this section—

- (a) in connection with any transaction in respect of which a guarantee can be given under section one of the principal Act ; or
- (b) in connection with the sale, or an agreement for sale, of manufactured goods of any description unless in the opinion of the Board the guarantee can be given without detriment to the export trade of the United Kingdom.

(3) A guarantee given under this section may be given upon such terms and conditions as to commission and otherwise as may be determined in accordance with the arrangements made for giving that guarantee.

(4) The aggregate amount of the liability at any time of the Board of Trade in respect of guarantees given under this section shall not exceed the sum of fifteen million pounds, and any such liability shall be included in the aggregate amount of the liability of the Board in respect of which a limit of two hundred million pounds is imposed by subsection (1) of section two of the principal Act as amended by section one of this Act.

(5) Section three of the principal Act (which requires the publication of returns in respect of guarantees given under that Act), and subsection (2) of section seven of that Act (which relates to the execution of the functions of the Board under that Act), shall apply in relation to any guarantee given under this section as those provisions apply in relation to guarantees given under the principal Act.

3.—(1) Any increase in the expenses incurred by the Board of Financial Trade under the principal Act by virtue of the provisions of section provisions. one of this Act shall be defrayed in the manner provided by subsection (1) of section six of the principal Act, and any sums received by the Board of Trade in connection with any guarantee given under that Act as amended by the said section one shall be dealt with in the manner provided by subsection (2) of the said section six.

(2) The provisions of the said section six shall apply in relation to any expenses incurred or sums received by the Board of Trade in connection with guarantees given under section two of this Act, and section three of the Overseas Trade Guarantees Act, 1939 2 & 3 Geo. 6. (which enables the Board to acquire securities guaranteed under c. 47. the principal Act) shall apply in relation to any securities guaranteed under the said section two.

4. The provisions of the principal Act and of the Overseas Trade Amendments Guarantees Act, 1939, specified in the First Part of the Schedule and repeals. to this Act shall have effect subject to the amendments set out in the second column of that Part (being amendments consequential on the provisions of this Act), and the provisions of those Acts set out in the Second Part of the said Schedule are hereby repealed to the extent specified in the third column of that Part.

5. This Act may be cited as the Export Guarantees Act, 1945. Short title.

SCHEDULE.

AMENDMENTS AND REPEALS OF 2 & 3 GEO. 6. c. 5. Section 4. AND c. 47.

PART I.

AMENDMENTS.

THE EXPORT GUARANTEES ACT, 1939 (2 & 3 GEO. 6. c. 5.)

Section.

Amendment.

Section two	... In subsection (1) after the words " that Act " there shall be inserted the words " and section two of the Export Guarantees Act, 1945 "; for the words " seventy-five " there shall be substituted the words " two hundred "; for the words " seven million five hundred thousand " there shall be substituted the words " fifteen million "; for the words " two million five hundred thousand " there shall be substituted the words
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" five million ; and at the end of the subsection there shall be inserted the following paragraph :—

" (c) the aggregate amount of such liability in respect of guarantees given under section two of the Export Guarantees Act, 1945, shall not exceed the sum of fifteen million pounds."

Section three ... After the words " this Act " in the second place where those words occur there shall be inserted the words " and under the Export Guarantees Act, 1945 ".

Section six ... In subsection (1) after the words " that Act " there shall be inserted the words " or under the Export Guarantees Act, 1945 ".

Section seven ... In subsection (2) after the words " that Act " there shall be inserted the words " or the Export Guarantees Act, 1945 ".

THE OVERSEAS TRADE GUARANTEES ACT, 1939 (2 & 3 GEO. 6. C. 47.)

Section three ... After the words " the Export Guarantees Act, 1939 " there shall be inserted the words " or the Export Guarantees Act, 1945 ".

PART II.

REPEALS.

Session and Chapter.	Short Title.	Extent of Repeal.
2 & 3 Geo. 6. c. 5.	The Export Guarantees Act, 1939.	Subsection (2) of section two.
2 & 3 Geo. 6. c. 47.	The Overseas Trade Guarantees Act, 1939.	In subsection (3) of section one the words from " Provided that " to the end of the section.

